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County: los-angeles

Division: Civil Law and Motion

Department: NWI

Hearing date: 2026-07-08

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26VECV02000 MICHAEL EDELSTEIN, et al. vs

THE VILLAGE AT SHERMAN OAKS, et al.

July 8, 2026, at 8:30 a.m.

Van Nuys Courthouse East, Dept. I

Tentative Ruling – Motion to Compel Arbitration

I.

Background

On April 3, 2026, Plaintiffs Michael Edelstein (“Edelstein”) and Julianne Newsome-Edelstein (“Newsome-Edelstein”)(collectively “Plaintiffs”) filed a complaint against Defendants the Village at Sherman Oaks (the “Village”), SRG Management, LLC (“SRG Management”), Grace Hartnett (“Hartnett”), Mikhail Maniyan (“Maniyan”), Jana Mahaney (“Mahaney”), Elizabeth Gomez (“Gomez”), and Does 1 to 25 alleging seven causes of action: (1) elder abuse – neglect; (2) financial elder abuse; (3) unfair business practices; (4) cancellation of contract; (5) negligent hiring/supervision; (6) intentional infliction of emotional distress; and (7) declaratory relief.

On June 2, 2026, SRG Management and Maniyan (hereinafter “Movants”) filed the instant motion to compel arbitration.

On June 24, 2026, Plaintiffs filed their opposition.

On June 30, 2026, Movants filed their reply.

II. Legal Standard

In deciding a motion to compel arbitration, trial courts must first decide whether an enforceable arbitration agreement exists between the parties and then determine the second gateway issue of whether the claims are covered within the scope of the agreement. (See *Omar v. Ralphs Grocery Co.* (2004) 118 Cal.App.4th 955, 961.) (See also *Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F. 3d 1126, 1130 [“The court’s role under the [Federal Arbitration Act (“FAA”)] is therefore limited to determining (1) whether a valid agreement to arbitrate exists and, if it does, (2) whether the agreement encompasses the dispute at issue.”]. “The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 64 Cal.Rptr.2d 903, 915-16.) “In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (*Id.* at 916.) No jury trial is available for a motion to compel arbitration. (*Ibid.*)

Accordingly, under both the FAA and California Law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a

contract. (*Winter v. Window Fashions Professions, Inc.* (2008) 166 Cal.App.4th 943, 947.)

III. Discussion

Movants move to compel arbitration on the grounds that Edelstein executed an agreement prior to his admission at the Village in July 2025. (Motion at 1:3-12; Exh. 1 [Agreement].) The Agreement

generally covers any disputes between Edelstein and the Village and its agents.
(Ibid.)

In opposition, Plaintiffs first argue that no enforceable agreement was formed because it was signed by Edelstein, an 87-year-old stroke survivor who lacked capacity, and whose signature was procured by “fraud in the execution” pursuant to Civ. Code § 1575. (Opposition at 6:3-17.)

A contract is void if its executor lacked mental capacity. (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 415-416.) “At the July 8, 2025 meeting Mr. Edelstein told staff that he was exhausted, overwhelmed, and experiencing ‘brain fog;’ laid his head on the table; and told staff that he did not understand the documents they were reading to him.” (Id. at 9:14-22 [citing Edelstein Decl. ¶¶ 5-9].) Furthermore, Plaintiffs argue that Edelstein was never given the agreement to actually read, and instead he was read the terms aloud by Maniyan. (Ibid.) Plaintiffs further argue that, pursuant to Cal. Code Regs. Title 22 § 87457, as a residential care facility for the elderly, Movants were required to conduct a pre-admission appraisal evaluating his functional capabilities and mental condition which they failed to do. (Id. at 10:4-14.)

Pursuant to Cal. Prob. Code §§ 810 and 811, a finding of incapacity must be supported by evidence of a deficit in mental functioning that significantly impairs the person’s ability to understand and appreciate the consequences of their actions. (See Prob. Code §§ 810 and 811.) Plaintiffs provide the declaration of Kenneth S. Kleinman (“Dr. Kleinman”), Edelstein’s treating physician. Kleinman declares that “Mr. Edelstein has a significant medical history, including an embolic stroke that occurred, which resulted in permanent neurological impairment. As a result of this condition, Mr. Edelstein suffers from cognitive deficits affecting his memory, judgment, and ability to process complex information” and lacks the ability to make “informed decisions without assistance.” (Kleinman Decl. at ¶¶ 4 and 6.)

More complicated documents and transactions require greater mental function. (Algo-Heyres v. Oxnard Manor LP (2023) 88 Cal.App.5th 1064.) An arbitration agreement that spans multiple pages, incorporates legal terminology, and waives the constitutional right to a jury trial therefore demands a correspondingly higher level of

cognitive functioning to execute with legal validity. (Ibid.)

Specifically, in Algo-Heyres, the Court determined that an elderly nursing facility resident with cognitive defects lacked legal capacity based on evidence that medical professionals had documented deficits in receptive and expressive communication, memory, problem solving, following abstract directions, and executive functioning. (Algo-Heyres, supra, 88 Cal.App.5th at 1071-1072.) Movants fail to address Algo-Heyres, which is persuasive. So too, here, does a medical professional document Edelstein's decreased cognitive function, problem solving, and memory issues. (See Kleinman Decl.) Based on the foregoing, the arbitration agreement is voidable.

IV. Conclusion

Based on the foregoing, the instant motion to compel arbitration is DENIED.

Moving party to give notice.